

Location Choices of Community Banks and Redlining: The case of Minority Depository Institutions(MDIs)

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Abstract

I study the location choices of MDIs and whether these choices are influenced by the historical segregation of urban areas. I construct a panel dataset to investigate whether MDIs are more likely to be located in neighborhoods that were historically “redlined”, compared to non-MDIs. Since MDIs are mission-driven community banks primarily owned by minorities, I study whether they establish in neighborhoods with restricted access to mortgages and racially discriminatory lending and also examine their proximity to such neighborhoods as reflected in the Home Owners’ Loan Corporation’s (HOLC) “Residential Security Maps”.

JEL Classification Codes: G20, G21 , R12

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